7. Income Taxes

Provision (benefit) for income taxes consist of the following -

	2002	2001	2000
Federal-			
Current	$ 31,000	$ 72,000	$ (164,000)
Deferred	262,000	(635,000)	84,000
	293,000	(563,000)	(80,000)
Foreign-			
Current	(501,000)	933,000	767,000
Deferred	500,000	(103,000)	(24,000)
	(1,000)	830,000	743,000
State	38,000	(60,000)	(10,000)
Total	$330,000	$ 207,000	$ 653,000

A reconciliation of the differences between the effective tax rate and the statutory U.S. income tax rate is as follows-

	2002	2001	2000
Federal income tax provision at statutory rate	$ 478,000	$ 224,000	$ 638,000
State income tax net of Federal impact	25,000	(40,000)	(7,000)
Impact of foreign operations	(87,000)	119,000	109,000
Dividend exclusion	(86,000)	(96,000)	(87,000)
	$330,000	$ 207,000	$ 653,000
Effective tax rate	23.5%	31.4%	34.8%

Significant components of deferred tax liabilities as of December 31, 2002 and 2001 were as follows-

	2002	2001
Tax over book depreciation, depletion and amortization-		
Oil and gas and real estate properties - U.S.	$ 6,957,000	$6,940,000
Oil and gas properties - Canada	4,862,000	4,316,000
Unrealized gain (loss) on marketable securities	535,000	896,000
Net deferred tax liability	12,354,000	12,152,000
Deferred tax liability reclassified to current	(535,000)	(896,000)
Noncurrent deferred tax liability	$11,819,000	$11,256,000